

account where you qualify for a certain amount and use it at your own discretion by writing special checks provided by the lender. Lines of credit are great if you're not sure when you're going to need the money and want to have funds available quickly. Many people use home equity lines of credit to make improvements to their home or pay down credit card debt.

Department stores often offer revolving credit loans with no interest and no payments due for three to six months on large purchases such as furniture or appliances. If you take advantage of these offers, be sure to pay the entire balance before the interest kicks in. Often these accounts are turned over to a finance company at the end of the interest-free period, and the interest rates are high. Although no payments are required for several months, it's a good idea to make them anyway, or put money aside each month to pay off the balance at the end of the interest-free period.

Credit Insurance

Don't waste your money buying any of the various types of credit insurance from credit card or finance companies. Credit life insurance pays the balance on a loan if you die. Credit property insurance covers damage to the item that's being purchased with the loan proceeds. Credit disability insurance makes your loan payments if you're disabled, and involuntary loss of income insurance makes your loan payments if you're involuntarily unemployed.

Insurance that's tied to one particular debt is an expensive way to insure yourself against losses. If something does happen, only the payments for that particular item are covered. If you feel insurance is necessary, talk to your insurance agent about a broader policy, such as disability insurance that would replace your income if you became disabled or life insurance that would provide a lump sum to your beneficiary instead of to the lender.